

**THE INTERNATIONAL COMMUNITY... ALLOWS NEARLY
3 BILLION PEOPLE—ALMOST HALF OF ALL HUMANITY—
TO SUBSIST ON \$2 OR LESS A DAY IN A
WORLD OF UNPRECEDENTED WEALTH.**

KOFI ANNAN, FORMER SECRETARY-GENERAL OF THE UNITED NATIONS

The downside

Although foreign companies boost the local economy, and pay to improve roads, railroads, and airports, they own the industrial buildings and machinery. And while they employ local workers, these are often unskilled jobs, while the managers come from the company's home country. The bulk of the profits from the business go to the company, not the host country, and some multinationals pay little or no local tax. Nevertheless, while the company operates in a developing country, it brings a prosperity that that country often couldn't achieve on its own.

Critics of multinational companies argue that they don't establish local industries and promote sustainable growth. And it's the multinational, not the host country, that's trading in the global market, doing little to provide technology or give workers the skills to set up competitive local businesses. Furthermore, in the longer term, poor countries may come to rely on multinationals to achieve growth.